

MIDTERM EXAMINATION
Spring 2009
FIN630- Investment Analysis & Portfolio Management
(Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Which one of the following financial instruments represents an ownership share in a corporation?

Common stock

Bond

Preferred stock

Term Finance certificates

Question No: 2 (Marks: 1) - Please choose one

There are ____ broad categories of financial assets.

2

3

4

5

Question No: 3 (Marks: 1) - Please choose one

Shares of McDonald Corporation are an example of a (n):

Standardized financial instrument

Non-standardized financial instrument since their prices can differ over time

Standardized financial liability instrument

Open-end investment

Question No: 4 (Marks: 1) - Please choose one

_____ promotes investment education and ethical behavior among those involved in the investment business.

Licensed International Financial Analyst (LIFA)

Securities Investor Protection Corporation (SIPC)

Chartered Financial Analyst Institute (CFAI)

Securities and Exchange Commission (SEC)

Question No: 5 (Marks: 1) - Please choose one

Which of the following function removes the fear of buying or selling at rip off price?

Fair pricing function

Continuous pricing function

Economic function

Exchange function

Question No: 6 (Marks: 1) - Please choose one

The trading of listed securities in the NASDAQ market is known as:

Primary market

Third market

Secondary market

Fourth market

Question No: 7 (Marks: 1) - Please choose one

Stocks of well-established companies that have stable earnings and no extensive liabilities are known as _____.

Growth stocks

Income stocks

Defensive stocks

Blue chip stocks

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement regarding short sales is NOT true?

Short sales are done with the expectation that prices will rise

Short sales can be executed only on an uptrend

Short sales are all done on margin

Short sales may be executed by both individuals and market makers

Question No: 9 (Marks: 1) - Please choose one

Companies that have capitalization amounts between \$500 million and \$2billion are known as _____.

Small cap companies

Mid cap companies

Growth companies

Large cap companies

Ref: A **blue chip** is a nationally recognized, well-established and financially sound company. The term comes from blue poker chips, which have the highest value in the game

Question No: 10 (Marks: 1) - Please choose one

A procedure for valuing the price of a stock by using predicted dividends and discounting them back to present value is known as.

Capital Asset Pricing Model

Dividend Discount Model

The Residual Earning Model

None of the given options

Question No: 11 (Marks: 1) - Please choose one

In bar chart, which color indicates share prices are going up?

Black

White

Blue

Red

Question No: 12 (Marks: 1) - Please choose one

In candlestick chart, what does white body candle depict?

Prices are moving down

Prices are moving up

Prices are constant

Prices are fluctuating

Question No: 13 (Marks: 1) - Please choose one

On Balance Volume technique of technical analysis was developed by:

Charles Dow

Joseph Granville

John Bollinger

Welles Wilder

Question No: 14 (Marks: 1) - Please choose one

Which of the following is relevant to market breadth?

Specialist inventory

Advance/declining ratio

Fundamental analysis

Ticker tape

Ref: A technique used in technical analysis that attempts to gauge the direction of the overall market by analyzing the number of companies advancing relative to the number declining. Positive market breadth occurs when more companies are moving higher than are moving lower, and it is used to suggest that the bulls are in control of the momentum. Conversely, a disproportional number of declining securities is used to confirm bearish momentum.

Question No: 15 (Marks: 1) - Please choose one

The Elliot Wave Theory is based on repeating _____ waves cycle.

4

5

7

8

Question No: 16 (Marks: 1) - Please choose one

Which of the following is correct formula for calculating short interest ratio?

Average shares sold short / Average daily trading volume

Total shares sold short / Average daily trading volume

None of the given options

Total shares sold short / Total daily trading volume

Question No: 17 (Marks: 1) - Please choose one

ABC Furnitures worth \$51 million. What is another term for this?

Book value

Earning per share

Market value

Cost per share

Question No: 18 (Marks: 1) - Please choose one

Which of the following is TRUE regarding price per earning ratio?

P/E=Earnings available to common stockholders/outstanding shares

P/E=Market price per share/dividend per share

P/E=Market price per share/earning per share

P/E=Dividend per share/earning per share

Question No: 19 (Marks: 1) - Please choose one

When inflation and interest rates are low, Price per Earning (P/E) ratio tend to be:

High

Low

Minimum

Average

Ref: Inflation affects equity prices in several ways. Most importantly, investors are willing to pay less for a certain level of earnings when inflation is high, and more for a certain level of earnings when inflation is low (and expected to remain so).

Question No: 20 (Marks: 1) - Please choose one

Which of the following industry is sensitive to business cycle and price changes?

Growth industry

Cyclical industry

Defensive industry

Interest sensitive industry

Question No: 21 (Marks: 1) - Please choose one

Which of the following items will reduce stockholders' equity?

Purchase of equipment

Purchase of supplies

Receiving a loan

Payment of salaries

Question No: 22 (Marks: 1) - Please choose one

Mutual funds pool the funds of savers and can be used to buy

Shares in mutual savings banks only

A variety of financial instruments

Shares in the Federal Reserve System

None of the given options

Question No: 23 (Marks: 1) - Please choose one

Which of the following is defined as an investment company whose capitalization constantly changes as new shares are sold and outstanding shares are redeemed?

Unit investment trust

Closed-end investment company

Exchange traded fund company

Open-end investment company

Ref: An open-ended mutual fund continuously issues and redeems units, so the number of units outstanding varies from day to day. Most mutual funds are open-ended.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is defined as the total market value of securities in an investment company's portfolio divided by the number of investing company fund shares currently outstanding?

Discounted value

Present value

Future cash flow value

Net asset value

Ref: Net asset value may represent the value of the total equity, or it may be divided by the number of shares outstanding held by investors and, thereby, represent the net asset value *per share*.

Question No: 25 (Marks: 1) - Please choose one

Which of the following would be considered as the most bullish indicator?

A price decrease with heavy volume

A price increase with small volume

A price increase on heavy trading

No change in price but an increase in volume

Question No: 26 (Marks: 1) - Please choose one

Stocks can be purchased for a combination of cash and borrowed funds in:

Margin account

Cash account

IRA account

Option account

Question No: 27 (Marks: 1) - Please choose one

The average price of a security or currency over a specified time period used to spot pricing trends by smoothing out the large fluctuations is known as:

Moving Average

Standard deviation

Variance

Beta

Ref: The purpose of Moving Averages is to smooth out the day to day (or time frame to time frame) values for a smooth flowing graphical representation of the general trend of the market prices. Moving Averages are mathematical calculations and results that are generally calculated by averaging a number of past data points.

Question No: 28 (Marks: 1) - Please choose one

The use of the earnings multiplier model requires the use of forecast company earnings. How do investors obtain forecasts of company earnings?

Public companies are required to issue forecasts of quarterly earnings, going out three years

Securities analysts develop and publish earnings forecasts, based on their understanding of the company, its industry, and the overall economy

Securities analysts develop and publish earnings forecasts, based on sophisticated statistical techniques

Because these earnings will be announced in the future, no one can forecast them

Question No: 29 (Marks: 1) - Please choose one

Which of the following is an intangible asset with an identifiable useful life?

Patent

Timber

Goodwill

Trademark

Question No: 30 (Marks: 1) - Please choose one

Which of the following categories is NOT a financial statement element?

Cash flow

Contributed capital

Assets

Distributions

Question No: 31 (Marks: 5)

Differentiate between income stocks and penny stocks.

Question No: 32 (Marks: 10)

Define short selling and describe the procedure of short selling in detail.

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